

① minimise value of tax paid

↳ maximise post tax return

Factors to consider: [STAR OR]

- total tax **rate** on investments
- how tax is **split** between different components of investment return
- **timing** of tax payments
- whether tax is **deducted** at the source or paid subsequently
- extent to which tax deducted at source can be **reclaimed** by investors
- extent to which gains + losses can be **aggregated** between different investments or over different time periods for tax purposes

Effective tax rate after allowing for:

- ① Time tax is payable
- ② Extent tax on assets can be **offset** against other tax liabilities

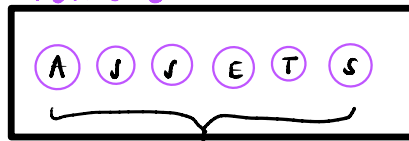
Greater tax impact for:

- ① Higher amounts
- ② Earlier payments

Factors affected by: [DR FOVS]

- overall tax system
- particular tax **rules** on types of assets
- investor's own **status**
- investor's **financial** position
- **domestic** or offshore investments
- tax efficiency of **vehicle** used to hold A

Vehicle



When **SOLD**: (disposal)

CG: ↑ in real value of asset after allowing for inflation

- ② Avoid **crystallisation** → Derivatives
  - reduce asset exposure
  - assets not sold → avoid tax

Born may be liable to tax

Corporate Tax:

- ① Dividends + retained profit (distributed) (↑ share value)
- ② Debt + equity
  - ↳ paid from **post-tax** profits
  - ↳ interest payable on **pre-tax** profit

Corporation Tax Systems: [CSTC]

|              |                                                                                                                                                                                                                                         |
|--------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| ① Classical  | <p>profits taxed twice &lt; company investor</p> <p>Profit before tax → Profit post tax</p> <p>investor taxed ← dividend</p> <p>↳ subject to ① income tax ② CG tax</p>                                                                  |
| ② Split-Rate | <p>Similar to classical</p> <p>Retained + Distributed</p> <p>Different tax rates</p> <p>• Use when income + CG = different rates</p> <p>↑ rate on income tax = ↑ rate on retained profits</p>                                           |
| ③ Imputation | <p>Distribution → company deducts from this and pays govern.</p> <p>offset from corporation tax bill</p> <p>Tax deducted = 'imputed' to shareholder</p> <p>→ reclaim: if not liable</p> <p>→ pay more tax: liable rate &gt; imputed</p> |

## Definitions

|                          |                                                                  |
|--------------------------|------------------------------------------------------------------|
| • Progressive Tax System | Marginal tax rate $\uparrow$ as investor income $\uparrow$       |
| • Regressive Tax System  | Marginal tax rate $\downarrow$ as investor income $\uparrow$     |
| • Earned Income          | wages & salaries earned by working                               |
| • Unearned Income        | returns from investments                                         |
| • 'Bed & Breakfasting'   | Annual tax-free allowance: sell & repurchase to crystallise gain |
| • Stamp Duty             | tax on purchase of assets                                        |
| • Withholding Tax        | tax payable on offshore investments $\oplus$ Double tax          |
| • Gross Investor         | investor not subject to tax on domestic returns                  |